

BEFORE THE
FEDERAL MARITIME COMMISSION

YSN IMPORTS INC. d/b/a/ Flame King,

Complainant,

v.

FEIGE "PEGGY" OBERLANDER, U SHIPPERS
GROUP INC., and U SHIPPERS GROUP
MANAGEMENT CO., INC.

Respondents.

Docket No. 21-02

OPPOSITION TO RESPONDENTS' MOTION TO DISMISS COMPLAINT

Complainant YSN Imports Inc. d/b/a Flame King ("YSN" or "Flame King"), by and through their undersigned counsel, respectfully submit this opposition to Respondents' Motion to Dismiss Complaint filed by Feige "Peggy" Oberlander ("Oberlander"), U Shippers Group Inc. (the "Association"), and U Shippers Group Management Co. Inc. ("Management") (Oberlander, Management and the Association collectively "Respondents"). For the reasons provided below, Respondents' motion to dismiss should be denied in its entirety.

I. SUMMARY OF THE ARGUMENT

Complainant seeks an order from this Honorable Federal Maritime Commission ("Commission") directing Respondents to cease and desist from taking advantage of the acute market disruption caused by COVID-19 by imposing unlawful and unreasonable "for-profit" additional fees to Complainant for use of a service contract entered by the Association, pursuant to the Shipping Act of 1984 (the "Act"), acting as a nonprofit shippers' association. Complainant also seeks an order directing Respondents to pay reparations for bookings that Complainant was

entitled to make at the service contract rates obtained by the Association, but for which Complainant was forced to pay higher rates due to Respondents' wrongful conduct in denying access to the service contract and expelling claimant from the Association in violation of the Act and the Commission's regulations. Complainant seeks these remedies before this Commission because Respondents are taking advantage of the privilege under the Act to enter service contracts with carriers as a nonprofit shippers' association and using that privilege to impose additional fees and cause economic injuries to Complainant as a for-profit freight consolidator.

Respondents have asked the Commission to dismiss the Complaint for lack of jurisdiction and for failure to state a cause of action under the Act. This dispositive motion is asserted by Respondents before service of an answer to the Complaint and before any document exchanges, depositions or other discovery. These types of Rule 12 (b)(1) and (6) motions under the Federal Rules of Civil Procedure ("FRCP") require the Commission to construe the Complaint in the light most favorable to the Complainant, accept all well-pleaded facts as true (and controverting facts from Respondents as false), and weigh all inferences in favor of Complainant.

Respondents argue that the Complaint should be dismissed because the Commission does not have jurisdiction over the Association or its alter-egos -- Respondents Oberlander and Management¹ -- for the alleged for-profit operation of the Association, and that the allegations are "merely a dressed up breach of contract claim." Respondents' contentions are without merit as the Complaint alleges multiple, clearly stated, and well-founded violations of the Act, all of which are separate and apart from the valid contract claims alleged against Respondents in the civil action pending before the United States District Court for the Eastern District of New York.

¹ Respondents argue that Complainant has failed properly to allege "alter-ego" liability to extend jurisdiction of the Commission to reach the dominant and controlling bad actors Oberlander and Management. See *infra*, response on alter-ego issues, pp. 13-16.

Respondents also assert that Complainant is not entitled to reparations for the alleged wrongful conduct in violation of the Act. The Complaint has alleged the Association entered service contracts by virtue of its status as a shippers' association afforded under the Act but then subsequently charged "for-profit" fees to its members acting as a for-profit freight consolidator and pre-textually expelled Complainant for refusing to pay such for-profit fees, thus depriving Complainant of the favorable rates available under the service contracts. This Association's for profit behavior and expulsion of Complainant has caused severe and continuing economic injury entitling Complainants to reparations under the Act. The motion to dismiss is designed to delay the proceedings and to distract the Commission from the unreasonable and actionable conduct set forth in the Complaint. As the Commission is fully authorized to grant equitable relief, reparations and other remedies for the alleged violations of the Act in the Complaint, Respondents' motion to dismiss should be denied in its entirety.

II. Material Facts in Dispute Require Denial of Motion to Dismiss

Respondents assert a one-sided statement of material facts they allege are not in dispute for purposes of the motion to dismiss.² Respondents admit that the motion to dismiss does not accept the well-pleaded allegations of the Complaint. Instead, Respondents have submitted contravening factual assertions in the Oberlander declaration,³ which should be rejected as false for purposes of this motion to dismiss.⁴ Respondents further decline, in their motion to dismiss,

² See (Mot. to Dismiss at p. 3) ("The Complaint is filled with many false factual statements which Respondents sharply contest.") Under the applicable standard for a Rule 12(b)(6) motion, the facts alleged in the Complaint must be accepted as true, and any inferences should be decided in favor of the non-moving party.

³ (Mot. to Dismiss, Ex. 2, Oberlander Decl..)

⁴ Respondents rely on the Oberlander declaration for numerous disputed material facts, which should not be considered by the Commission on this motion to dismiss. Oberlander's controverted statements include:

(1) "The Association communicated with Flame King that there was limited space available through the Maersk system, and that it should not overbook. Nevertheless Flame King overbooked by about 50%."

(2) "Flame King raised its bookings to approximately three times the amount that it had been allocated by the Association."

to refute the allegations in the Complaint. As Respondents concede material issues of fact admittedly exist, Respondents' dispositive motion should be denied as premature subject to service of an answer, completion of document exchanges and witness discovery, and scheduling of any appropriate dispositive motion practice pursuant to the Commission's regulations.

Notwithstanding the foregoing, Respondents admit some material facts namely that: (1) Oberlander is Director of both the Association and its affiliate, U Shippers Group Management Co., Inc. ("Management") (Oberlander Decl. ¶ 1); (2) Flame King became a member of the Association by executing a member enrollment in mid-July 2020 (Oberlander Decl. ¶ 4); and (3) the Association entered a service contract with Maersk, and Flame King began booking containers under the service contract. (Oberlander Decl. ¶ 5). These material admitted facts support the allegations of the Complaint, and provide more than sufficient bases for the Commission to have jurisdiction over the alleged violations of the Act and to warrant denial of the motion to dismiss.

Respondents falsely assert that Flame King did not commit to place a single order with the Association. (Oberlander Decl. ¶ 4.) As alleged in the Complaint, the Association asked Flame King for its estimated shipping volume for negotiation with ocean carriers, and Complainant told Respondents they needed a minimum of 750, 40-foot equivalent unit (FEU) container shipments from Asia to the U.S. West Coast. (Compl. IV.B. ¶¶ 7-8.) The Complaint further alleges: "As of August 12, 2020, Oberlander emailed asking Flame King to increase the number of Transpacific eastbound container bookings they were placing through the Association.

(3) "Because of these excessive bookings, on February 18, 2021, the Association notified Flame King by email that its membership was terminated due to excessive and disproportionate bookings."

(4) "The Association terminated Flame King's membership on the basis that Flame King had booked too many containers under the allocation set by the Association for the service contract with Maersk."

In response to Oberlander's request and in reliance on the Membership Agreement's stated price, YSN proceeded to switch over the bulk of its container bookings to go through the Association." (Complaint IV.B. ¶ 26.) On September 13, 2020, certain orders YSN placed with Maersk were cancelled. (Compl. IV.B. ¶ 28.) By email of September 13, 2020, Oberlander admitted she had opened the portal to too many other users and had exceeded its then-current period allocation with Maersk. (Compl. IV.B. ¶ 28.)

On November 16, 2020, Oberlander emailed the members of the Association stating that they would be required to pay an extra management fee of \$1,200 per FEU starting December 1, 2020 if they wanted to continue shipping with Maersk under the service contract. (Compl. IV.B. ¶ 36.) Oberlander explained the reason for the substantially increased fees as follows: "The Association has been successful on an ongoing basis to prevent Maersk from blocking Association members' containers on vessels and from assessing substantially inflated spot rates." (Compl. IV.B. ¶ 36.) Complainant confirmed with the carrier, Maersk, that the additional fees were not charged by Maersk and instead were charges originating with the Association over and above the service contract rates, notably without any justification based on increased costs or expenses to the Association. (Compl. IV.B. ¶¶ 34-37.)

On December 1, 2020, the Association started invoicing Flame King the increased fee of \$1,200 per FEU described in the November 16 email. (Compl. IV.B. ¶ 48.) The Association informed Flame King that if it did not pay the fee, the Association would expel Flame King from the Association and deny it access to the service contract with Maersk. (Compl. IV.B. ¶ 53.) By email of February 18, 2021, the Association terminated Flame King from the Association. (Compl. IV.B. ¶ 55.) The Association's stated reason for termination "due to excessive and

disproportionate bookings" was alleged in Respondents' February 18, 2021 email. (Compl. IV.B. ¶ 55.)

The Association's termination of Flame King was retaliatory in nature and was taken because Flame King contested the imposition of "additional fees" without justification by the Association. In sum, based on the foregoing, the Association by charging additional fees is operating as a "for profit" freight consolidator in violation of the Act's specific limitation applicable to shippers' associations to act for their Members on a nonprofit basis. The violation of the Act has resulted in economic injuries that entitle Complainant to an order from the Commission directing the Association to cease and desist and to pay reparations.

III. Standards for Motion to Dismiss

A. Dispositive Motion Practice

A motion to dismiss for failure to state a cause of action is a dispositive motion within the meaning of the Commission's regulations. 46 C.F.R. § 502.69(g). A dispositive motion is defined as "a motion for decision on the pleadings;...motion to dismiss all or part of a proceeding..." 46 C.F.R. § 502.69(g). The Commission's Rules of Practice and Procedure do not explicitly provide for a motion to dismiss, and therefore the Commission follows the Federal Rules of Civil Procedure, Rule 12(b)(1) and (6). 46 C.F.R. § 502.12. As such, on a Rule 12 motion to dismiss, "the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged...in the complaint as true."⁵

Further, the Commission will deny a motion to dismiss when material facts are in dispute. Here, the parties dispute (1) the whether the Association is a nonprofit under the Act, (2) whether

⁵ See *Santa Fe Discount Cruise Parking, Inc., D/b/a Ez Cruise Parking; Lighthouse Parking Inc.; and Sylvia Robledo D/b/a 81st Dolphin Parking v. the Board of Trustees of the Galveston Wharves; and the Galveston Port Facilities*, 2014 WL 7404584, at *7 (F.M.C. 2014).

Respondent's assessed for-profit fees upon shippers, including Complainant, in violation of their position as a nonprofit shippers' association, (3) whether Respondents allocated a specific amount of bookings to Complainant, and (4) the reasons Respondents expelled Complainant from the Association. Given these material facts are in dispute, among many others alleged in the Complaint, the motion to dismiss must be denied.⁶

The Commission applies the pleading standards set forth by the Supreme Court in *Bell Atlantic Corp. v. Twombly*, and *Ashcroft v. Iqbal*.⁷ The Commission will recognize that the Complaint on its face does indeed allege factual matters that, accepted as true, properly "state a claim to relief that is plausible on its face." The Complaint alleges that Respondents violated the Act by acting as a for-profit freight distributor under the guise of being a "nonprofit" shippers' association when it assessed excessive fees upon its members. (Compl. V.A. ¶¶ 1-5.)⁸

Respondents cite to federal pleading standards as applicable to decide this motion but then misapply those standards to the allegations in a failed effort to support dismissal of the Complaint by the Commission. (Mot. to Dismiss III.A (citing *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009) - both well-known Supreme Court cases with standards for Rule 12(b)(6) motions). 46 C.F.R. § 502.12. The Complaint easily meets or exceeds the pleading standard of *Iqbal*, i.e. "A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do', because Complainants have described in detail the facts underlying the stated counts for violation of the

⁶ In support of these allegations, Complainant has set forth several material facts, for example at Paras. 48-55, which must be accepted as true for this motion to dismiss and at a minimum require discovery between the parties, and fact finding by the Commission to address the substance of the many alleged violations of the Act set forth in the Complaint.

⁷ See *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007); see also *Ashcroft v. Iqbal*, 556 U.S. 662 (2009); see also *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority Of New York And New Jersey*, 1 F.M.C. 2d 29, 30-31 (2018).

⁸ See *Twombly*, 550 U.S. at 547.

Act.⁹ Complainant recites the definition of a shippers' association under the Act and has alleged that the Association failed to comply with the nonprofit status requirement by imposing additional "for profit" fees against Flame King (and presumably other Members) for use of the service contract with Maersk. (Compl. V.A. ¶¶ 1-5.) Furthermore, Complainant demonstrates how the Association's additional fees led to demands for members to "enter into new contracts at new rates" or face expulsion, actions undertaken by the Association "to reward itself for perceived successful performance" and which actions render the Association incapable of making the certification as a nonprofit "shippers' association" under the Act. (Compl. V.C. ¶ 4.)

Respondents cite several inapposite cases to support their assertions that the Complaint alleges a "dressed-up" breach of contract claim already subject to federal court proceeding between the parties.¹⁰ While the Commission may take judicial notice of public records in appropriate circumstances, the documents attached as exhibits (1&2) to the motion to dismiss do not support Respondents' position and indeed, if the Commission takes judicial notice, such notice would only serve to confirm that the Complaint before the Commission presents a separate, independent and cognizable claim under the Act addressing flagrant violations by Respondents.

The Complaint ("EDNY Complaint") before the Eastern District of New York ("EDNY") asserted materially different allegations from the present Complaint before the Commission. The EDNY Complaint alleged claims of breach of contract, breach of fiduciary duty, anticipatory breach of contract, tortious interference, fraud, prima facie tort, and price gouging injunctive relief under California law. (Compl. at pp. 91-141. *YSN Imports Inc. et al v. Oberlander et al*

⁹ See *Iqbal*, 556 U.S. at 678.

¹⁰ (Mot. to Dismiss III.A.) (citing *Tellabs, Inc. v. Makor Issues & Rights, Ltd.*, 551 U.S. 308, 322 (2007); *McCone v. Thorpe*, 828 Fed. Appx. 697, 698 (11th Cir. 2020); *Twumasi-Ankrah v. Checkr, Inc.*, 954 F.3d 938 (6th Cir. 2020); and *Citizens for Responsibility and Ethics in Washington v. Trump*, 924 F.3d 602, 607 (D.C. Cir. 2019)).

1:20CV05981 (E.D.N.Y. Dec. 14 2020.)) Notably, the EDNY Complaint does not allege that the Association, Oberlander and Management acted as a for-profit entity when holding themselves out to be a nonprofit shippers' association, nor any allegations that by operating as a for-profit enterprise, Respondents have violated the Act. As evident from the Complaint, none of the legal breach of contractual and fiduciary duties alleged in the EDNY Complaint have been presented to the Commission. The Complaint has solely focused on alleged violations of the Act by Respondents, all claims which are within the jurisdiction of the Commission.

IV. The Commission has Jurisdiction over the Alleged Violations of the Shipping Act by the Association, Oberlander and Management.

A. Flame King has Properly Alleged Violations of the Act by Respondents for Operating the Association as a For-Profit Freight Consolidator.

Respondents assert that the Commission's jurisdiction does not extend to allegations of the Complaint relating to breach of contract issues or a breach of fiduciary duty, both of which it says are already the subject of an amended complaint in the EDNY federal district court. (Mot. to Dismiss III.B.) The Complaint alleges four violations of the Act: (1) the "for-profit" fees imposed by the Association deprive it of status as a shippers' association; (2) as a "for-profit" entity, the Association cannot make the certification to be recognized as a shippers' association under the Act; (3) the Association misrepresented its status as a nonprofit to induce carriers and shippers to enter contracts and obtains rates otherwise unavailable to a "for-profit" freight consolidator, in violation of the Act; (4) Respondents' actions injured the Complainant economically and entitled Complainant to reparations. (Compl. V.) First, none of the alleged claims in the Complaint so much as mention the phrase "breach of contract" nor allege any elements of a breach of contract claim¹¹. Second, Respondents concede in the motion to dismiss

¹¹ While Complainant acknowledges that the Commission does not decide breach of contract claims, Complainant has distinguished its claims in the Complaint to be limited to alleging violations of the Act for claims within the

that Flame King has asserted in the Complaint "that UShippers Group Inc. is not being run as non-profit association." Respondents' own pleading admits the Complaint has asserted a claim that the Association is not being operated as a non-profit as required by the definition of a "shippers' association" and in violation of the Act.¹²

Respondents concede, as they must, that the Act expressly governs service contracts under 46 U.S.C. § 41502, and that service contracts are "subject to the requirements" of the Act. (Mot. to Dismiss III.A.) Respondents cite *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, for the rule that the Commission looks to whether a Complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act.¹³ *Cargo One, Inc.* provides that the Complainant alleging violations of the Act may rebut the presumption that the claim is no more than a simple contract claim by alleging that the "violation raises issues beyond contract obligations." *Id.* at *40 (emphasis added)(Opp. Mot. to Dismiss III.) Here, the alleged violations in the Complaint raise issues peculiar to the Act, namely the Association being used by Oberlander and Management to operate as a "for-profit" entity in the guise of a nonprofit shippers' association in violation of the Act. (Complaint V.A. ¶¶ 1-5.) In these circumstances, the *Cargo One* court explained that "the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the

Commission's jurisdiction. See 46 U.S.C. § 41301(a). Respondents further assert that "at best" Complainant's allegation was one of self-dealing and a breach of fiduciary duty on the part of Oberlander and that such a claim would need to be brought in Delaware because the Association was incorporated in Delaware. (Mot. to Dismiss B.) Respondents divert from the core violations of the Act by referring to alleged failures of un-asserted claims and conflate the counts brought in the district court action with the violations of the Act actually alleged in the Complaint before the Commission.

¹² The Complaint alleges at Section III, as follows: "F. The Act's definition of Shippers' Association includes the key language that a Shippers' Association is "a group of shippers that consolidates or distributes freight on a nonprofit basis for the members of the group to obtain carload, truckload, or other volume rates or service contracts.... The Association's excessive additional fees not required to cover any expenses incurred render it functionally a for-profit freight consolidator, violating the historical purpose, legislative history and judicial interpretation of what it means to be a Shippers' Association under the Act."

¹³ 2000 FMC LEXIS 14, at *12 (, 2000).

agency." *Id.* at *14. Here, the Association imposed "for-profit" fees for use of a service contract denying Complainant access to rates agreed in the service contract. Respondents' alleged actions are specifically plead as violations of the Act for conduct prohibited for a shippers' association, namely operating as a "for-profit" basis to take advantage of individual Members of the Association.

Respondents cite *Western Overseas Trade and Dev. Corp. v. ANERA* and *Vinmar, Inc. v. China Ocean Shipping Co.* to support two baseless arguments that (1) Complainant is seeking remedies that would otherwise be available in breach of contract action; and (2) the Commission does not have jurisdiction to enforce the terms of a service contract.¹⁴ (Mot. to Dismiss III.B.) As explained above in more detail, Flame King has not alleged a breach of contract claim in the Complaint and is not seeking contractual damages in this action before the Commission. Flame King also has not sought in the Complaint to enforce the relevant service contract between the Association and Maersk but instead has alleged that the Association is acting unreasonably and in violation of the Act by entering the service contract on behalf of its Members, but then subsequently exploiting the benefits of the service contract for its own personal gain, (and that of Oberlander and Management) in violation of the Act.

B. Complainants Assert Violations of the Act by Respondent's Improper For-Profit Use of the Association Contrary to the Definition that Requires a Shipper's Association to Act "on a non-profit Basis for the Members of the Group."

While the Association most certainly must comply with service contract requirements, such compliance does not relieve them of their obligations under the Act to comply with the definitional requirement for a shippers' association, which the Act clearly defines as "a group of

¹⁴ *Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 875 (1995), and *Vinmar, Inc. v. China Ocean Shipping Co.*, 26 S.R.R. 420 (1992)

shippers that consolidates or distributes freight on a nonprofit basis for the members of the group in order to secure carload, truckload, or other volume rates or service contracts." 46 U.S.C. app. § 1702(22) (emphasis added). By characterizing Complainant's assertion as a "dressed-up" breach of contract claim, which Complainants did not assert in the Complaint, Respondents' motion to dismiss engages in a repeated pattern of distraction by raising non-issues as bases for dismissal of the Complaint, while avoiding (and failing to address) the material issues in dispute.

Here, the Respondents fail to recognize that the Commission has authority to rule on violations of the Act that occur in connection with service contracts. 46 U.S.C. § 40502 and 46 C.F.R. Part 530.1 (emphasis added). A shippers' association must comply with the definitions under the Act when entering service contracts because the Commission looks to definitional requirements when assessing compliance with the Act.¹⁵ Respondents' failure to comply with the "nonprofit basis" definition for a shippers' association is a violation of the Act. In sum, the Commission has jurisdiction over the Association and its alter egos, Oberlander and Management, for violations of the Act including disregard of the definitional requirement for a shippers' association to engage only on a nonprofit basis, by restricting access to the service contract, and ultimately terminating Complainant's membership in the Association.

C. The Commission has Jurisdiction over Management and Oberlander, Acting as Alter Egos of the Association because All Three Entities have Engaged in a "For-Profit" Enterprise in Violation of the Act.

Respondents assert that (1) the only argument cognizable before the Commission is that the Association is being run on a for-profit basis but that (2) this claim is wholly dependent on the Commission piercing the corporate veil of the Association to reach Management and Oberlander. (Mot. to Dismiss V.A.) Respondents' argument operates on the unsupported

¹⁵ See *Rose International, Inc., v. Overseas Moving Network International, Ltd., et al.*, 29 S.R.R. 119 (F.M.C. 2001).

premise that the violations of the Act are dependent on alter-ego status to reach Oberlander and Management. To the contrary, the allegations of the Complaint fully support violations of the Act by the Association's conduct alone in engaging in for-profit freight consolidation or distribution while purporting to be a nonprofit shippers' association. The alter-ego aspects of the Complaint have been asserted to extend jurisdiction of the Commission to reach Oberlander and Management, who exercise dominance and control over the Association depriving individual Members of the benefits of service contracts entered on their behalf.

Respondents contend that this cognizable claim should be dismissed as a matter of law because the alter-ego allegations in the Complaint are conclusory and therefore insufficient.¹⁶ The Complaint alleges violations of the Act against the Association that stand alone, independent from alter ego status of Oberlander and Management and are sufficient in and of themselves to deny this motion to dismiss.

For some inexplicable reason, Respondents wrongly assert that Complainant did not allege that the Association "itself" was being run as a for-profit. Complainants repeatedly allege this violation throughout the Complaint. Section V, Part B provides: "The Association, Acting as a 'For-Profit' Entity, cannot make the certification to be recognized as a shipper in a service contract." Subpart B.4 reads as follows: "The Association is charging additional fees (above those negotiated as part of the Service Contract) to its members, at its own discretion and to reward itself for perceived successful performance, acting as a "for-profit" freight consolidator, which does not meet the 'shippers' association' definition, and thus the Association cannot

¹⁶ Respondents maintain that Management and Oberlander are outside the reach of the Commission and do not have to comply with the non-profit requirements applicable to shippers' associations. (Mot. to Dismiss V.A. at p. 8.) The Complainant's alter-ego allegations address this anticipated position of Respondents seeking to evade the regulatory authority of the Commission pursuant to 46 U.S.C. Section 1.

lawfully make this certification, as required by the Act." Subpart B.5 and C also allege the Association failed to act as a non-profit.

Respondents contend that the complaint should be dismissed because Complainant has not established that the Association is being run "for profit." Respondents rely on a definition from "a leading case" from the First Circuit, which concluded that "nonprofit" status depended primarily on proof that the entity did not "distribute profits to stockholders or others." (citations omitted). (Mot. to Dismiss V.B.) Remarkably, this is exactly what is alleged in the Complaint against Respondents - namely that the Association is distributing profits from the "additional fees" (over and above the service contract rates) to Oberlander and Management instead of conferring those benefits on its members. (Compl. IV.B. ¶ 62.)

Respondents warp the definition of "non-profit" by asserting that Complainant "does not claim that the Association is being run to distribute profits to shareholders or others" but in the very next sentence acknowledge that the Complaint alleges "the Association is paying high management fees presumably at the direction of Oberlander." (Mot. to Dismiss V.B.) The allegations against Respondent support a finding that the Association is distributing profits to Management and Oberlander by and through imposition of "additional fees" on its Members instead of distributing the benefit of service contracts to individual shippers as was intended by the Act.

Respondents cite *TDC Management Corp.* to propose applicable elements needed to pierce the corporate veil under federal common law. (Mot. to Dismiss V.A.) *TDC Management Corp.* provides that "[f]ederal common law, rather than state law, governing the veil-piercing question applies in cases where some federal interest is implicated by the decision whether to

pierce the corporate veil.”¹⁷ However, relevant to this maritime related matter, *Liberty Highrise pvt. Ltd. v. Praxis Energy Agents DMCC* provides the Commission with the more appropriate alter-ego standard under federal maritime law:

[U]nder federal maritime law, 'the defendant must have used the corporate entity to perpetrate a fraud or have so dominated and disregarded the corporate entity's corporate form that the corporate entity primarily transacted the defendant's personal business rather than its own corporate business.’¹⁸

Furthermore, “[f]actors that weigh in favor of a finding that two entities are alter egos include overlap in staff, officers, and directors, absence of arms-length dealing, blurred lines of corporate control, and intermingled financial transactions.”¹⁹ Under the federal maritime law standard, the allegations of the Complaint are sufficient to meet the standard for pleading alter ego liability of Oberlander and Management for their dominance and control of the Association to engage in violations of the Act. Complainant's allegations also demonstrate factors that weigh in favor of a finding that two entities are alter egos, namely that there is an (1) overlap in staff, officers, and directors - Oberlander dominates the Association, (2) Management and Oberlander do not operate at arms-length from the Association; (3) there are blurred lines of corporate control and intermingled financial transactions because the fees the Association is charging are intended for affiliates of the Association, which are under common ownership and control with the Association, including Management, of which Respondent Oberlander holds all equity interests. (Compl. IV.B. ¶ 62.)

Respondents next cite *Gerritsen v. Warner Bros. Entertainment Inc.* to support their argument that Complainant needed to allege specific facts to support both elements of the

¹⁷ 263 F.Supp.3d 257, 266 n. 8 (D.D.C. 2017).

¹⁸ No. 20 CV 2427, 2021 U.S. Dist. LEXIS 62445 at *4 (S.D.N.Y. Mar. 31, 2021),

¹⁹ *Id.*

piercing the veil claim and follow this point by citing to *Kelleher v. Dream Catcher, L.L.C.* for the proposition that Complaints' conclusory allegations of veil piercing or alter-ego status are insufficient.²⁰ (Mot. to Dismiss V.A.) As noted above, Complainants have pleaded the elements of the alter-ego claim by asserting that Respondents have used the Association to dominate and disregard the corporate form such that the Association primarily transacted the business of Oberlander and Management.

V. Complainant's Allegations Fully Support an Award of Reparations by the Commission to Sanction UShipper's "For-Profit" Conduct as a Shipping Association

Respondents assert that Complainant fails to allege a claim for reparations despite several paragraphs in Count D specifically addressing reparations. (Mot. to Dismiss VI.); (Compl. V.D.) However, the Commission has clear authority under the Shipping Act to grant reparations: "the complainant may seek reparations for an injury to the complainant caused by the violation" of the Act. 46 U.S.C. § 41301 (a).

Respondents cite *In re Agent Orange Prod. Liabl. Litig.* for the proposition that the Commission should adopt the definition of reparations therein because the term is not defined in the Shipping Act.²¹ Not only does *In re Agent Orange Prod. Liabl. Litig.* have no relation to the maritime industry or anything analogous to the economic damages incurred by Complainant, but also the case is off base because it is about war reparations.²² Even if *In re Agent Orange Prod. Liabil. Lit.* had some bearing, it has severe negative treatment by other courts.

²⁰ See *Gerritsen v. Warner Bros.Ent.Inc.*, 116 F.Supp. 3d 1104, 1136 (C.D. Cal. 2015); see also *Kelleher v. Dream Catcher, L.L.C.*, 221 F. Supp. 3d 157, 159 (D.D.C. 2016).

²¹ 373 F. Supp.2d 7, 28 (E.D.N.Y. 2005).

²² See 373 F. Supp. 2d 7, 48 (quoting war reparations are "compensation for an injury or wrong, esp. for wartime damages or breach of an international obligation.")(emphasis added).

In addition to Respondents' strange choice of case law to reference a definition for "reparations" under the Act, Respondents falsely claim that the Complaint does not allege an injury deserving of reparations because Flame King never paid the invoices it was charged by the Association. (Mot. to Dismiss IV.) This argument entirely ignores the injuries Flame King did suffer that are owing of reparations, namely those listed in the Complaint, which clearly allege that due to Respondents' actions, Flame King was deprived of access to favorable rates in the service contract with Maersk, and that it has suffered substantial economic losses by being forced to pay spot market rates for the lost bookings rescinded under the service contract with Maersk. (Compl. V.D.)

VI. Complainant's Request for Relief in the Form of Disgorgement and Monitoring of Respondents' Conduct is within Regulatory Authority of the Commission Pursuant to the Shipping Act.

A. The Commission has Authority to Regulate Conduct to the Extent Respondents Engage in Activity as a Shipping Association under the Act.

Respondents misapply *Brewer v. Maralan* by arguing that the Commission lacks general equitable authority to order remedies it feels are appropriate for a violation of the Act. (Mot. to Dismiss VII.A.) *Brewer v. Maralan* held very specifically, and with limited application, that the Commission lacked authority to order the Respondents in that matter to return Complainant's cargo free of charge.²³ Respondents cannot extend application of the holding in *Brewer* to foreclose equitable relief by the Commission. Complainant requests entirely different relief here for violations of the Act by the improper use of the Association to charge for-profit fees and deny Flame King access to the service contract with Maersk.

²³ 2001 FMC LEXIS 46 (2001).

Additionally, *Brewer* supports application of equitable remedies by the Commission because it provides that "The FMC may also issue cease and desist orders commanding regulated entities not to engage in proscribed behavior."²⁴ This is precisely what Complainant seeks: Flame King has requested that the Commission order Respondents to cease and desist from behavior proscribed under the Act for nonprofit shippers' associations. (Compl. VI.D-E.)

B. Respondents' Retaliatory Termination of Complainant from the Association does not Limit Standing or Diminish any Relief Sought in Complaint.

Respondents argue that because Complainant was expelled from the Association (as of February 18, 2021), it does not have standing before the Commission to seek a remedy to require the Association to permit Flame King access to the service contract with Maersk to book shipments. (Mot. to Dismiss VII.B.) Respondents do not cite support for this proposition. Complainant has standing despite its expulsion from the Association because the relief sought is for the Commission to order the Respondents to cease violations of the Act. Flame King has suffered a concrete injury, i.e. deprivation of its rights under the service contract due to the Association's violations of the Act, which have led to economic injuries. Moreover, the Association's expulsion of Flame King from the shippers' association was retaliatory for refusing to pay the for-profit fees.

C. Policy Argument That Shippers' Associations Are to Be Minimally Regulated does not Apply to Improper or Unauthorized Use of the Association.

Finally, Respondents argue that Complainant's prayer for equitable relief conflicts with "long-standing policy of Congress and the Commission that Shippers Associations are to be left unregulated." (Mot. to Dismiss VII.C.) Respondents' argument misses the point. Complainant

²⁴ *Id.* at *11.

is not asking the Commission to intervene and manage the Association. The Complaint is calling out the Respondents' improper use of the Association to impose fees for-profit additional fees on Complainant in violation of the Act.

Respondents' reliance on *Petition for Rulemaking on Shippers' Associations* is misplaced and inapposite.²⁵ Respondents cite that Notice for the proposition that "shippers' associations should generally be allowed to operate with a minimum of governmental intervention."²⁶ However, the Commission qualified that statement with the caveat that "the Commission will involve itself in situations where there is a regulatory purpose to be served...."²⁷ In that matter, the Commission denied a petition from eleven conferences of carriers "to initiate a rulemaking procedure to set forth procedures by which common carriers or conferences could determine whether an entity claiming to be a 'shippers' association' within the meaning of section 3 (24) [of the Act], actually meets the definition."²⁸ The Commission declined to engage in rulemaking because the carriers could obtain the information needed directly from the shippers' associations "as a matter of course during normal business negotiations." Relevant to the Complaint in this proceeding, however, the Commission explained: "To the extent shippers' associations become involved in activities which may be subject to the Act, it is the Commission's intention to address any matter **on an ad hoc basis**."²⁹ Here, the regulatory purpose to be served is halting Respondents' improper use of the Association to enter service contracts on a "for-profit" basis at the expense of its own Members and in violation of the Act.

²⁵ 22 S.R.R. 1624, 1628 (1984); 50 Fed. Reg. 6249 (1985) (Respondents' cited material is not an adjudication, but instead appears in the Federal Register as a Notice of the Commission's decision not to initiate rulemaking.).

²⁶ *Petition for Rulemaking Concerning Shippers' Associations*, 50 Fed. Reg. 6249 (1985).

²⁷ *Id.*

²⁸ *Id.*

²⁹ *Id.* (emphasis added).

Regardless, the purported policy that equitable relief is inappropriate in this matter because shippers' associations are supposed to be "unregulated" is not even supported by the referenced quote and in any event is contrary to *Brewer*, which provides: "The FMC may also issue cease and desist orders commanding regulated entities not to engage in proscribed behavior."³⁰ A supposed policy of minimal regulation of shippers' association is not tantamount to the Commission disregarding specific violations of definitional requirements of the Act. Under the circumstances presented by the Complaint, the Commission is clearly authorized to issue equitable relief and reparations to address violations of the Act.

VII. Respondents Cannot Escape Oversight by the Commission for its Conduct as a For-Profit Shipping Association.

Respondents attempt to evade its obligations under the Shipping Act to operate as a nonprofit shippers' association by retaliating against members who object to their behavior. The Commission has unquestionable authority to hear claims of violations of the Act. Despite Respondents' numerous attempts to divert attention from the several alleged violations of the Act, the claims asserted by Complainant are within the authority granted the Commission for oversight and jurisdiction over Respondents, and are well-established and sufficiently plead in the Complaint. 46 U.S.C. §40502(Service Contracts); 46 C.F.R. Part 530.6 (Shipper's Certification); 46 U.S.C. § 41301 (a)(Complaint and Reparations). The Respondents violated the Act by operating as a for-profit shippers' association when it imposed additional unreasonable fees on Complainant for use of the already agreed upon service contract with Maersk. To permit the Association to evade accountability for operating on a "for-profit" basis today would sanction

³⁰ 2001 FMC LEXIS 46 at *11 (2001).

future retaliatory behavior and encourage continued violations of the Act on the part of Respondents.

VIII. CONCLUSION

First, Respondents' motion to dismiss the complaint must be denied because, as a purported shippers' association, the Association, Oberlander and Management are subject to the Commission's jurisdiction;

Second, Respondents' motion to dismiss the Complaint for failure to allege elements "peculiar to" a violation of the Act must be denied. The Complaint has alleged multiple cognizable claims for violation of the Act by the Association, Oberlander and Management.

Third, Complainant properly alleged alter ego liability to extend jurisdiction to Oberlander and Management and this claim is properly before this Commission.

Fourth, Complainant is entitled to reparations for Respondent's wrongful conduct in violation of the Shipping Act, as established by precedent cited above.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant requests that Respondent's Motion to Dismiss be denied in its entirety.

Dated: June 4, 2021

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 4th day of June, 2021, a true and correct copy of the foregoing Opposition to the Motion to Dismiss was served via email and regular mail on:

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